



CASH-FLOW STATEMENT

Typically, when companies present their cash flow statement, they split the statement into three segments to explicitly show how much cash the company has generated across the three business activities. Continuing with our example from the earlier chapters, here is the cash flow statement of TATA Motors Ltd.

I. Cash Flows from Operating Activities:

	Year ended	
	March 31, 2025	March 31, 2024
	Audited	
Cash flows from operating activities:		
Profit for the year	5,452	7,902
Adjustments for:		
Depreciation and amortisation expense	2,008	2,017
Allowance for trade receivables, loans and other receivables	104	114
Discounting of warranty and other provisions	65	(91)
Inventory write down (net)	59	99
Profit on sale of investments in subsidiary	-	(3,748)
Non cash exceptional items	272	939
Accrual for share-based payments	27	28
Lease charges (Amortisation considered as employee cost)	74	58
Loss/(profit) on sale of assets (net) (including assets scrapped / written off)	35	(32)
Profit on sale of investments at FVTPL (net)	(97)	(81)
Marked-to-market gain on investments measured at FVTPL	(7)	(4)
Gain on fair value of below market interest loans	(40)	(11)
Tax expense/(credit) (net)	1,900	(51)
Finance costs	1,122	1,706
Interest income	(419)	(201)
Dividend income	(1,988)	(655)
Unrealized foreign exchange loss(net)	48	534
	3,163	621
Cash flows from operating activities before changes in following assets and liabilities	8,615	8,523
Trade receivables	388	(553)
Loans and other financial assets	(181)	124
Other current and non-current assets	128	212
Inventories	257	(541)
Trade payables	(56)	315
Other current and non-current liabilities	(174)	599
Other financial liabilities	(51)	(52)
Provisions	861	281
Cash generated from operations	9,787	8,908
Income tax (paid)/refund (net)	8	(246)
Net cash from operating activities	9,795	8,662

We will skip going through each line item, as most of them are self-explanatory. However, please notice that TATA Motors Ltd. has generated Rs. 9,795 Crs from operating activities. Note, a company with a positive cash flow from operating activities is always a sign of financial well-being.



Cash Flow from
Operating Activities





II. Cash Flows from Investing Activities:

Cash flows from investing activities:		
Payments for property, plant and equipments	(987)	(1,005)
Payments for other intangible assets	(1,056)	(986)
Proceeds from sale of property, plant and equipments	113	39
Investments in Mutual Fund (purchase)/sold (net)	(793)	1,268
Redemption/(Investments) in Government securities	35	(33)
Investments in associate companies	-	(150)
Investments in subsidiary companies	(1,121)	(678)
Loan given to subsidiary companies	(183)	(16)
Sale of investment in subsidiary company	150	3,812
Redemption of preference shares in a subsidiary company	-	14
Repayment of loan by subsidiary companies	17	-
Increase in short term inter corporate deposit	(2,923)	(95)
Deposits/restricted deposits with banks	(1,748)	(1,790)
Realisation of deposits/restricted deposits with banks	2,343	273
Interest received	346	180
Dividend received	1,988	655
Net cash (used in)/ generated from investing activities	(3,819)	1,488

As you can see, TATA Motors Ltd. has consumed Rs. 3,819 Crs in its investing activities. This is quite intuitive, as investing activities tend to consume cash. Also, remember that healthy investing activities foretell the investor that the company is serious about its business expansion. Of course, how much is considered healthy and how much is not, is something we will understand as we proceed further.



Cash Flow from
Investing Activities





III. Cash Flows from Financing Activities:

Cash flows used in financing activities:		
Proceeds from issue of shares and share application pending allotment (net of issue expenses)	35	82
Proceeds from long-term borrowings	2,076	26
Repayment of long-term borrowings	(1,890)	(5,949)
Proceeds received on cancellation of 'A' Ordinary shares towards TDS liability (refer note 5)	1,073	-
Payment towards TDS liability on cancellation of 'A' Ordinary shares (refer note 5)	(1,073)	-
Expenses paid on cancellation of 'A' Ordinary shares	(63)	-
Proceeds from/(Payment of) option settlement of long term borrowings	186	(82)
Net change in other short-term borrowings (with maturity up to three months)	(5,391)	757
Repayment of lease liabilities (including interest)	(422)	(155)
Dividend paid	(2,304)	(770)
Interest paid [including discounting charges paid, ₹232 crores (March 31, 2024: ₹405 crores)]	(1,159)	(1,839)
Net cash used in financing activities	(8,932)	(7,930)

TATA Motors consumed Rs. 8,932 crore through its financing activities. If you notice, the bulk of the money went in paying dividends. Also, if TATA Motors takes on new debt in the future, it would increase the cash balance (remember, the increase in liabilities increases the cash balance).



Cash Flow from Financing Activities

(in crores.)

Segment	Year ended March 31, 2025	Year ended March 31, 2024
Operating Activities	9,795	8,662
Investing Activities	(3,819)	1,488
Financing Activities	(8,932)	(7,930)
Total	(2,956)	2,220





The company consumed Rs. 2,956 Crores in the financial year 2024-25, whereas it generated Rs. 2,220 Crores in the previous year.

Net increase/(decrease) in cash and cash equivalents	(2,956)	2,220
Cash and cash equivalents as at April 1, (opening balance)	3,345	1,121
Effect of foreign exchange on cash and cash equivalents	(2)	4
Cash and cash equivalents as at March 31, (closing balance)	387	3,345
Non-cash transactions:		
Liability towards property, plant and equipment and other intangible assets purchased on credit/deferred credit	391	300

- **Net increase/(decrease) in cash and cash equivalents:** Shows how much cash increased or decreased during the year, with a decrease of Rs. 2,956 Crs. and an increase of Rs. 2,220 Crs. previously.
- **Cash and cash equivalents as at April 1 (opening balance):** Cash available at the start of the year was Rs. 3,345 Crs. (current year) and Rs. 1,121 Crs. (previous year).
- **Effect of foreign exchange on cash and cash equivalents:** Currency exchange impacts decreased cash by Rs. 2 Crs. (current year) and increased it by Rs. 4 Crs. (previous year).
- **Cash and cash equivalents as at March 31 (closing balance):** Cash on hand at year-end totaled Rs. 387 Crs. (current year) and Rs. 3,345 Crs. (previous year).

Brief Overview of Financial Statement:

Over the recent chapters, we've delved into three critical financial statements of the company: the Profit and Loss (P&L) statement, the Balance Sheet, and the Cash Flow statement. While the Cash Flow and P&L statements depict the company's financial status for a given year independently, the Balance Sheet is prepared on an accrual basis.

The P&L statement outlines the company's revenue earned against its expenditures. It also reflects retained earnings, often referred to as the company's surplus, which carry forward to the Balance Sheet. Depreciation figures from the P&L statement are also carried forward to the Balance Sheet.

The Balance Sheet provides a detailed view of the company's assets and liabilities. Shareholders' funds are represented on the liabilities side, ensuring that assets always equal liabilities for the Balance Sheet to balance.

A crucial detail on the Balance Sheet is the amount of cash and cash equivalents held by the company, sourced from the Cash Flow statement. This figure indicates the company's liquid assets available in its bank accounts.

The Cash Flow statement informs stakeholders about the company's cash generation capabilities and its cash needs. Prepared historically, it categorizes cash flows into operating, financing, and investing activities. The final cash flow figure indicates the actual cash and cash equivalents held by the company.

